



## HALF YEAR RESULTS

The Directors are pleased to announce the un-audited results for the six months ended 31 December, 2014.

### Consolidated Statement of Comprehensive Income

|                                      | 2014-15          | 2013-14         |
|--------------------------------------|------------------|-----------------|
|                                      |                  | Restated        |
|                                      | Kshs'000         | Kshs'000        |
| Revenue                              | 9,651,343        | 8,836,517       |
| Operating profit                     | 409,764          | 293,541         |
| Other income                         | 169,579          | 32,964          |
| Foreign exchange (losses)/gains      | <u>(52,088)</u>  | <u>4,263</u>    |
| Profit before taxation               | 527,254          | 330,768         |
| Income tax expense                   | <u>(115,014)</u> | <u>(99,230)</u> |
| Profit for the year                  | <u>412,241</u>   | <u>231,537</u>  |
| Attributable to:                     |                  |                 |
| Owners of the parent                 | 258,439          | 148,184         |
| Non-controlling interest             | <u>153,802</u>   | <u>83,353</u>   |
|                                      | <u>412,241</u>   | <u>231,537</u>  |
| Basic and diluted earnings per share | Shs.3.41         | Shs.1.96        |

## **COMMENTARY**

The improved financial performance over prior year is primarily attributable to the full period impact of capacity and efficiency gains from the new wheat mill, and the gains realised from the sale of the Group's investment in Bullpak Limited (held through Unga Holdings Limited), which was concluded in July 2014. Increased sifted maize meal volumes were realised as a consequence of a 25% average decline in finished product prices, enabled by a 21% average reduction in cost of inputs over the period.

Manufacturing overheads and competitive pressure remained high. Input VAT significantly affected margins as a consequence of the fact that the majority of the products sold fall under the exempt supplies category.

As a result of the depreciation of the Kenya and Uganda Shilling against the US Dollar, significant foreign exchange translation losses were recorded.

The company rolled out its new of route-to-consumer strategy for its Kenyan human nutrition business with focus on increased reach and improved product availability to consumers. The animal nutrition and health business opened a sales depot in Mombasa to better serve the Kenyan coastal market; additional depots will be opened in selected markets.

The development of offerings to meet changing market trends continues to receive focus. Several projects are ongoing to develop improved animal nutrition products in order to reinforce our already high quality animal feed portfolio, while enhancing customer satisfaction and product differentiation.

Maize grain supply has been steady since mid-2014, a situation which is expected to prevail over the next few months. Imported wheat was favourably priced following a bumper crop in the Black Sea region; however threats of a Russian export ban may drive prices higher towards the middle of the year.

Plans to enhance raw material storage capacity and to invest in a modern information technology platform are being progressed in order to support the Company's growth strategy.

Following shareholder approval at the last Annual General Meeting, the acquisition of a majority shareholding in Ennsvalley Bakery Limited is progressing towards completion.

The Directors do not recommend the payment of an interim dividend.

**BY ORDER OF THE BOARD**

**W Jumba**

**Company Secretary**

**26 February 2015**



# **CONSOLIDATED STATEMENT OF FINANCIAL POSITION**

**AS AT**

|                     | <b>31 Dec 2014</b> | <b>31 Dec 2013</b> |
|---------------------|--------------------|--------------------|
|                     | <b>Kshs'000</b>    | <b>Kshs'000</b>    |
| <b>ASSETS</b>       |                    |                    |
| Non Current Assets  | 2,554,330          | 2,760,200          |
| Current Assets      | 6,576,481          | 6,259,818          |
| <b>Total Assets</b> | <b>9,130,812</b>   | <b>9,020,018</b>   |

## **EQUITY AND LIABILITIES**

|                                     |                  |                  |
|-------------------------------------|------------------|------------------|
| Share Capital                       | 378,535          | 378,535          |
| Reserves                            | 3,111,010        | 2,646,622        |
| Minority Interests                  | 1,365,086        | 1,620,891        |
| Non-Current Liabilities             | 1,036,001        | 964,855          |
| Current Liabilities                 | 3,240,180        | 3,409,116        |
| <b>Total Equity and Liabilities</b> | <b>9,130,812</b> | <b>9,020,018</b> |

# **CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE SIX MONTHS ENDED**

|                                             | <b>31 Dec 2014</b> | <b>31 Dec 2013</b> |
|---------------------------------------------|--------------------|--------------------|
|                                             | <b>Kshs'000</b>    | <b>Kshs'000</b>    |
| Cash generated from operations              | 303,671            | 781,465            |
| Tax Paid                                    | (201,643)          | (157,194)          |
| Net cash from operating activities          | 102,028            | 624,271            |
| Net cash from investing activities          | 365,617            | (396,921)          |
| Net cash from financing activities          | 56,609             | 435,791            |
| Net increase in cash and & cash equivalents | 524,254            | 663,141            |
| At the end of period                        | 846,472            | 619,076            |
| <b>At the end of Period</b>                 | <b>1,370,726</b>   | <b>1,282,217</b>   |

UNGA GROUP LIMITED  
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

|                                                | Share capital<br>Sh'000 | Share premium<br>Sh'000 | Revaluation surplus<br>Sh'000 | Translation reserve<br>Sh'000 | Other Reserve<br>Sh'000 | Revenue reserve<br>Sh'000 | Equity attributable to equity holders<br>Sh'000 | Non-controlling interest<br>Sh'000 | Total<br>Sh'000 |
|------------------------------------------------|-------------------------|-------------------------|-------------------------------|-------------------------------|-------------------------|---------------------------|-------------------------------------------------|------------------------------------|-----------------|
| <b>At 1 July 2014</b>                          | 378,535                 | 73,148                  | 771,385                       | (13,758)                      | 3,293                   | 1,840,932                 | 3,053,535                                       | 1,633,708                          | 4,687,243       |
| Profit for the year                            | -                       | -                       | -                             | -                             | -                       | 258,439                   | 258,439                                         | (153,801)                          | 104,638         |
| Other comprehensive income for the year        | -                       | -                       | -                             | 1,827                         | -                       | -                         | 1,827                                           | -                                  | 1,827           |
| <b>Total comprehensive income for the year</b> | -                       | -                       | -                             | 1,827                         | -                       | 258,439                   | 260,266                                         | (153,801)                          | 106,465         |
| Dividend paid to shareholders                  | -                       | -                       | -                             | -                             | -                       | (56,780)                  | (56,780)                                        | -                                  | (56,780)        |
| Dividend paid to non - controlling interests   | -                       | -                       | -                             | -                             | -                       | -                         | -                                               | (45,274)                           | (45,274)        |
| Disposal of subsidiary                         | -                       | -                       | -                             | -                             | -                       | 232,524                   | 232,524                                         | (69,547)                           | 162,977         |
| <b>At 31 December 2014</b>                     | 378,535                 | 73,148                  | 771,385                       | (11,931)                      | 3,293                   | 2,275,115                 | 3,489,545                                       | 1,365,086                          | 4,854,631       |